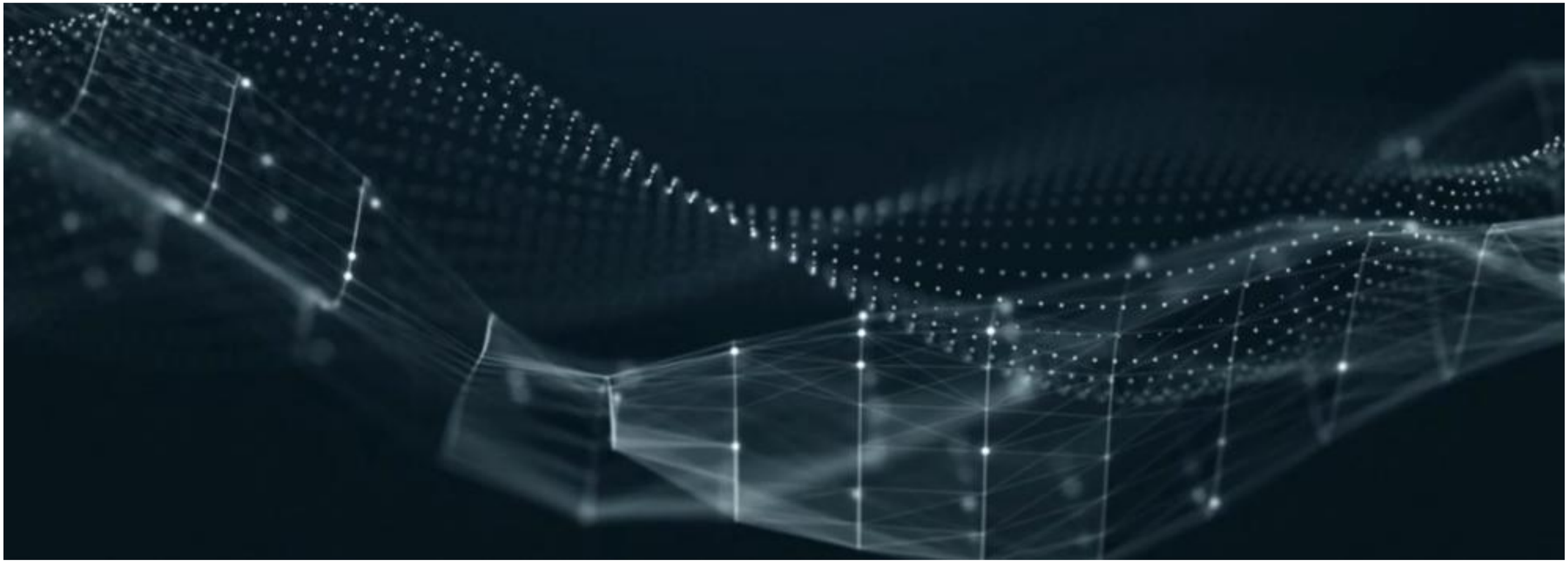
Power

North America Outlook | Week of 16 March 2026

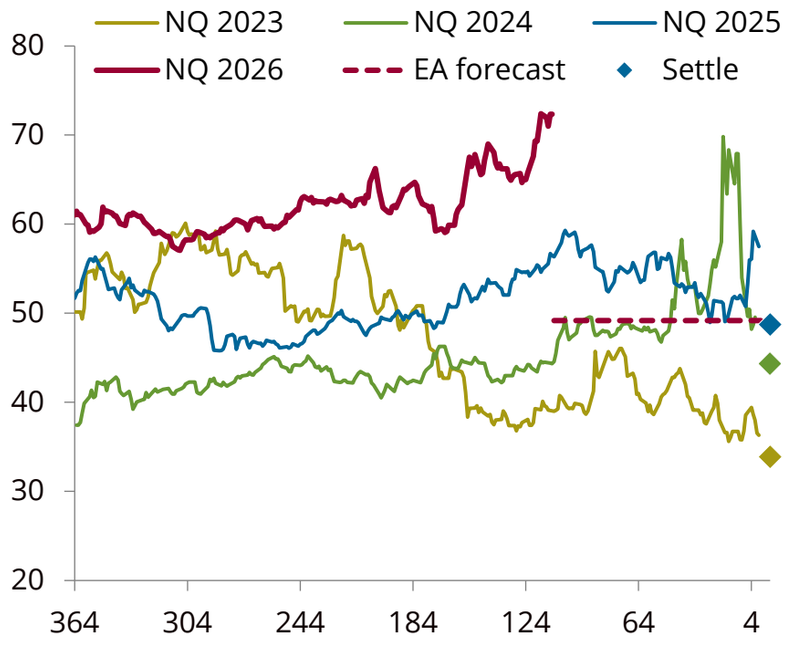
Power and natural gas weekly update



PJM summer sparks outrun gas prices on war jitters

PJM-W NQ on-peak spark spreads to expiry

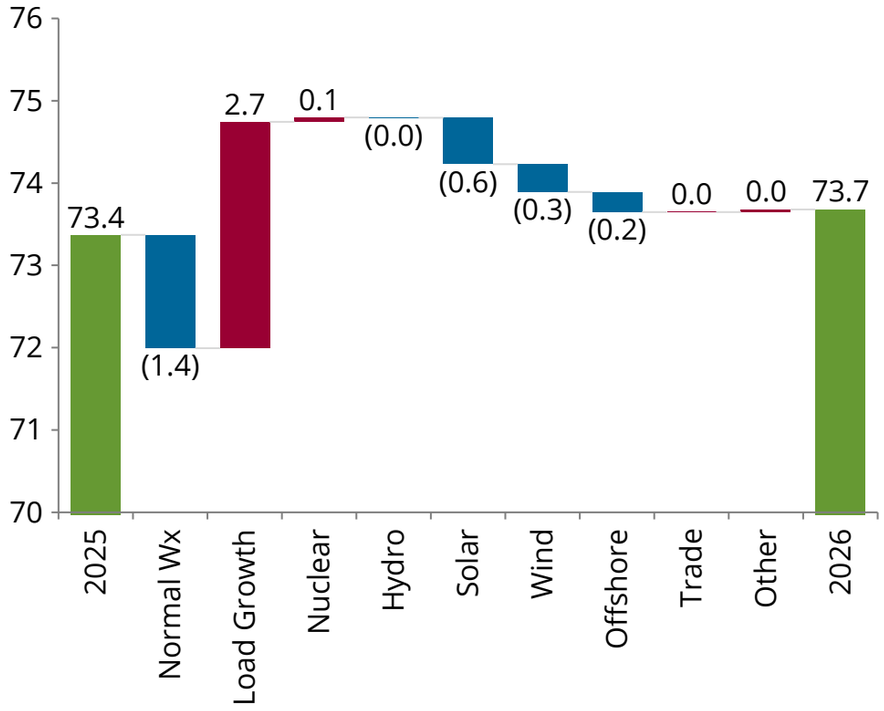
$/MWh (y-axis); days to first contract expiry (x-axis)



We raised our peak-summer spark forecast to $49.18/MWh on a higher model load expectation for this summer, rising coal price risk and congestion adding premium to West Hub.

PJM NQ average fossil call

GW



A recalibration of our weather-normal model raised our view of peak-summer fossil call from 73.2 GW to 73.7 GW, making our weather-normal view higher than last year's realisation.

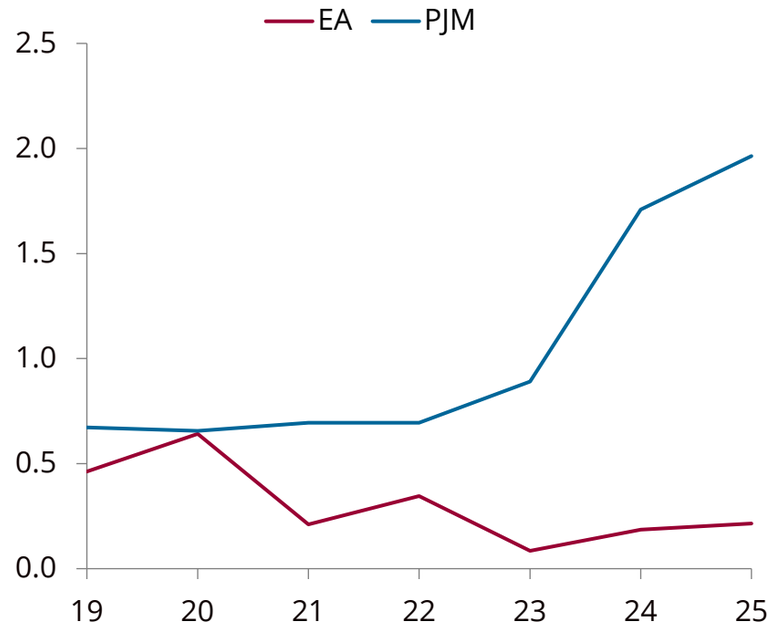
Note: Spark is at 7 heat rate and off M3 gas; no RGGI prices in PJM sparks

Source: ICE, PJM, EIA, Energy Aspects

Diesel curve gains an isolated risk for PJM summer; coal prices a larger one

PJM June–August oil generation

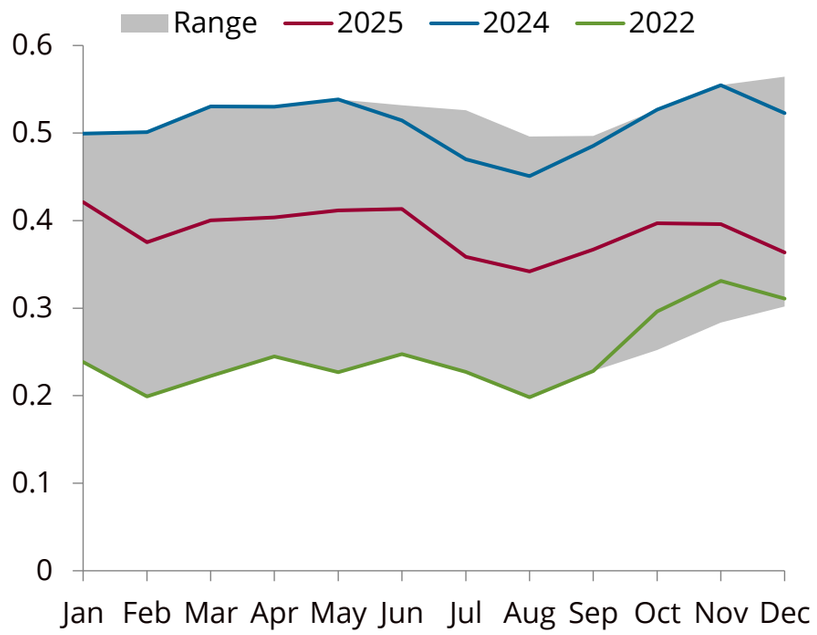
TWh



We believe ISO data overstate oil generation. Our estimate takes any difference between ISO-reported fossil call and EIA generation data and attributes output by fuel type.

PJM capacity-adjusted coal inventories

Mt/GW



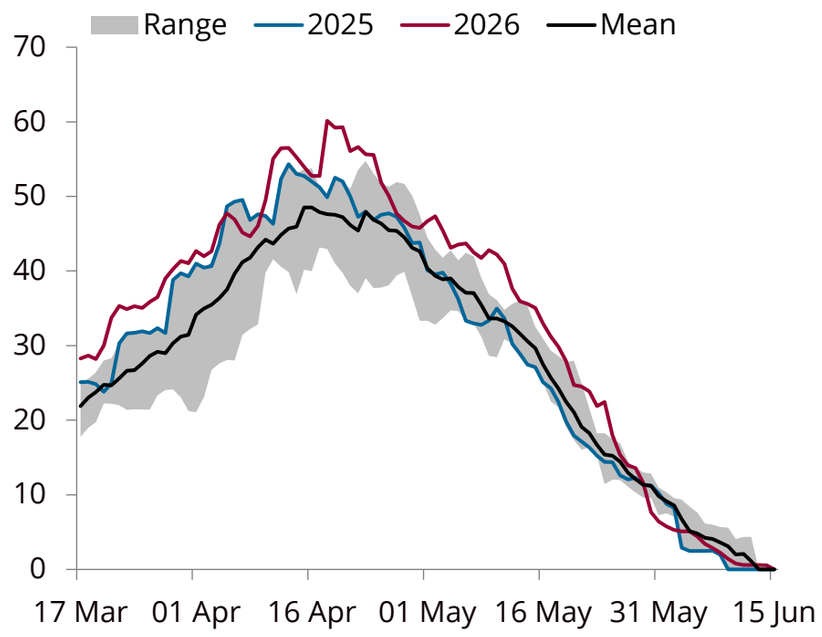
EIA coal stock data are likely to show incremental draws in January–February given Winter Storm Fern. Still, NAPP coal prices have not responded given higher production y/y.

Source: PJM, EIA, Energy Aspects

PJM outages look very strong this spring, adding risk to spark spreads

PJM long-term outage forecast as of 17 March

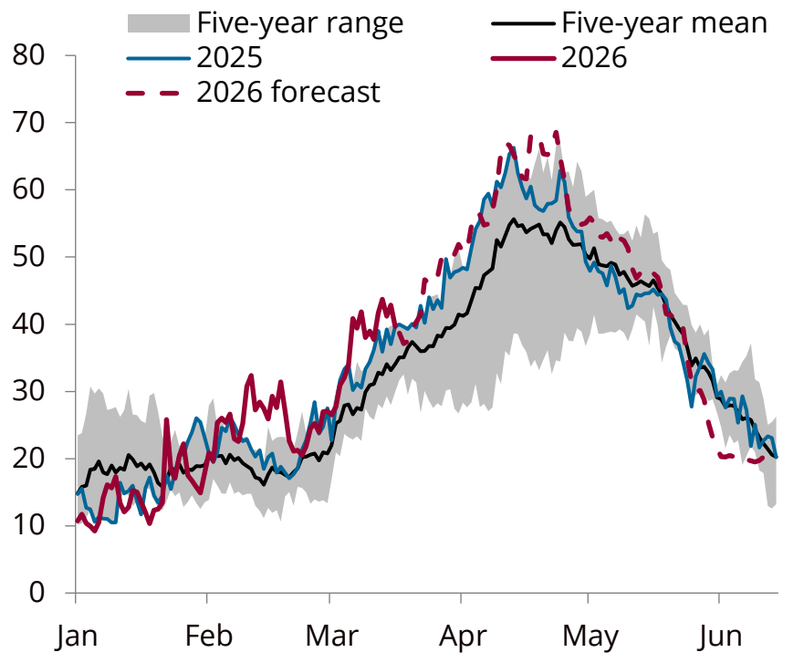
GW



PJM's long-term outage forecast is high for 2026, despite nuclear outages down by 0.4 GW y/y in our forecast. Actual outages are typically 18 GW above forecast over the 90 days.

PJM total generator outages

GW



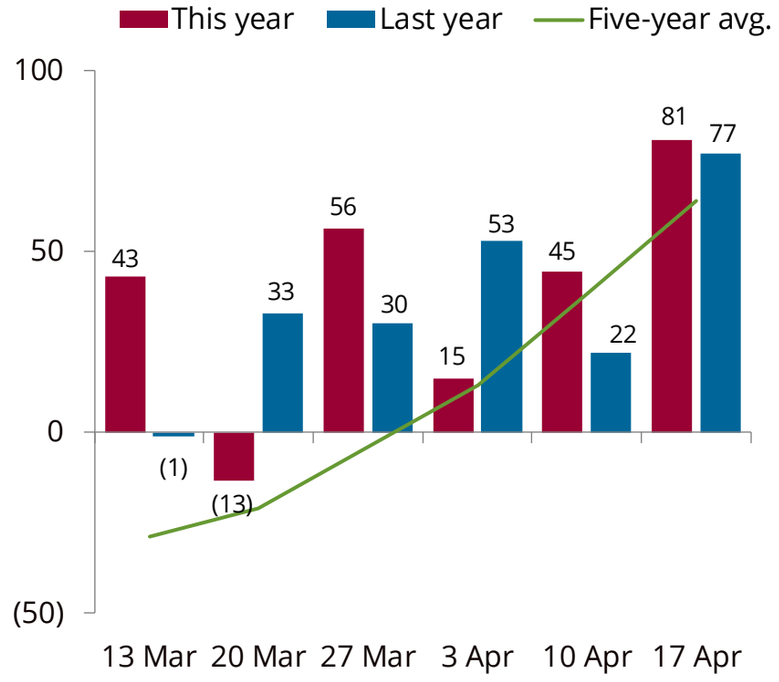
The EA outage forecast is higher y/y, but not to the extent of the PJM forecast. We see fossil outages up by 1.3 GW y/y, but the PJM forecast gives clear upside risk for our forecast.

Source: PJM, Energy Aspects

Lower 48 storage forecast

EIA weekly storage activity

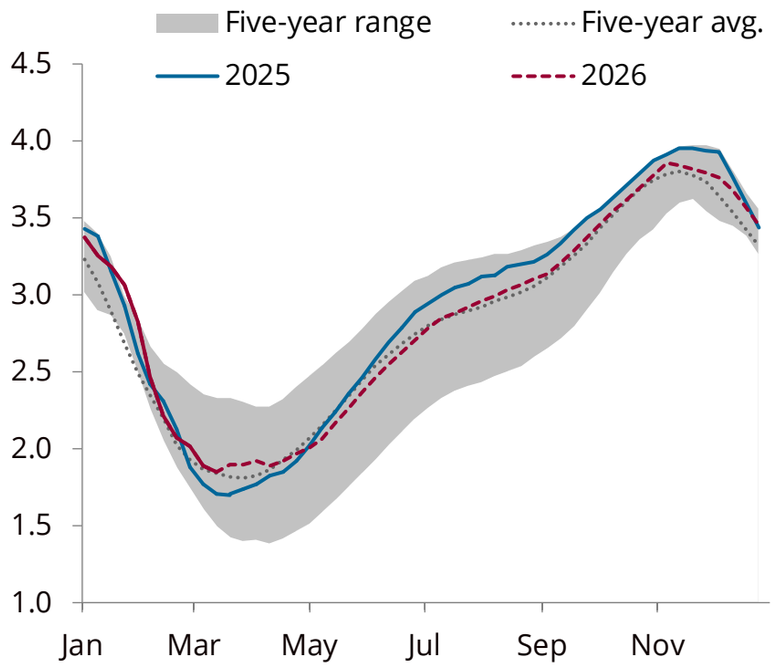
bcf



We estimate a 43 bcf injection for Thursday's EIA report on warmer-than-normal temperatures triggering at 9.9 bcf/d w/w decline in res-com demand.

US gas storage

tcf



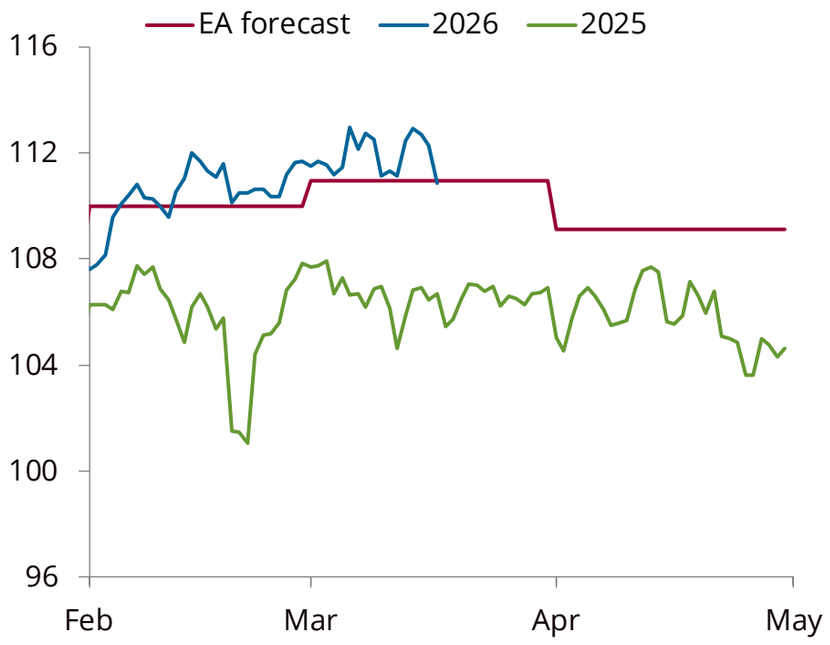
Our end-October storage estimate loosened by 44 bcf w/w to 3.88 tcf as near-term weather forecast moderates and Lower 48 production continues to trend higher.

Source: EIA, Energy Aspects

Domestic gas production

Total dry-gas production

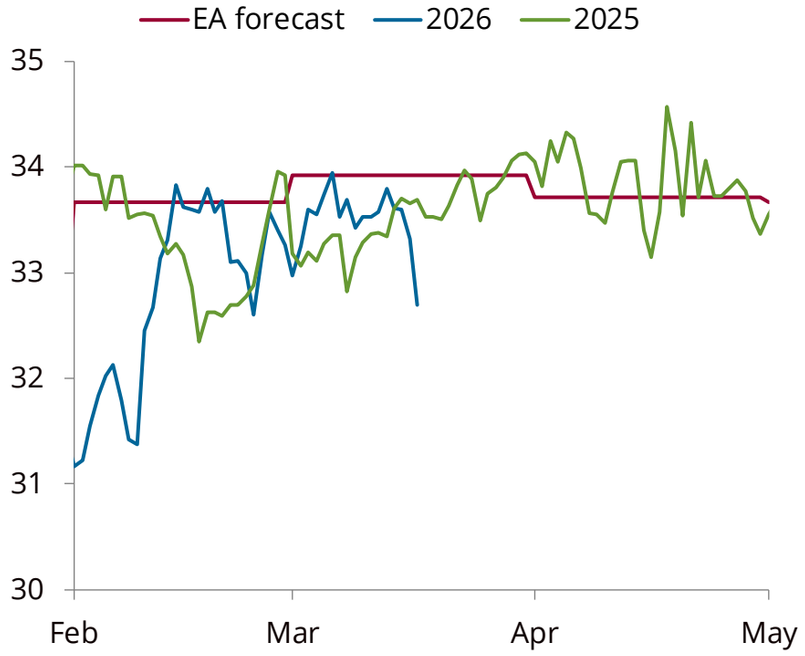
bcf/d



Our model showed a modest decline (-0.2 bcf/d w/w) in Lower 48 production to average 111.6 bcf/d WTD on freeze-offs restricting Appalachia production flows.

Appalachian gas production

bcf/d



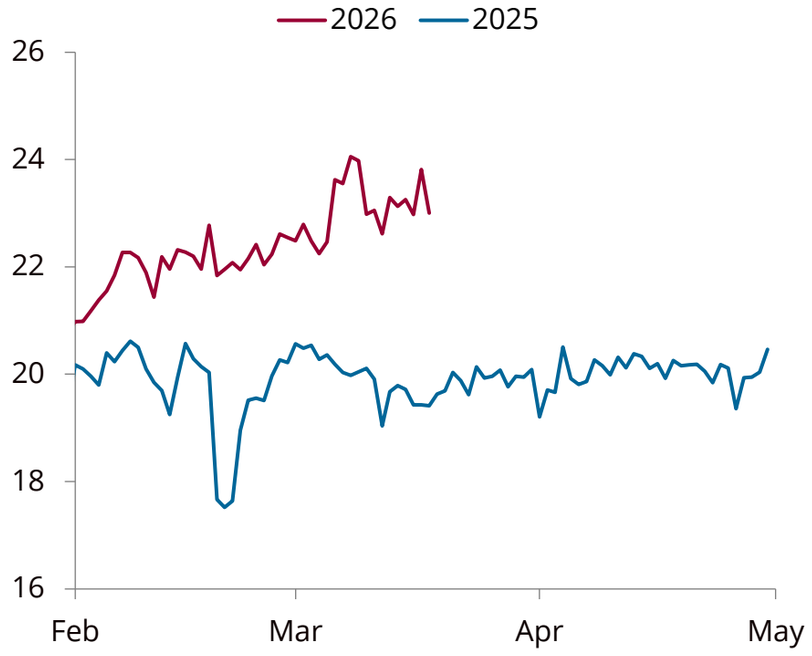
Appalachia flows average 33.0 bcf/d WTD, 0.5 bcf/d lower w/w as regional low temperatures declined to 15°F overnight, triggering freeze-offs. NEPA flows fell by 0.2 bcf/d w/w.

Source: Ventyx, Energy Aspects

Domestic gas production – Permian and Haynesville

Permian gas production

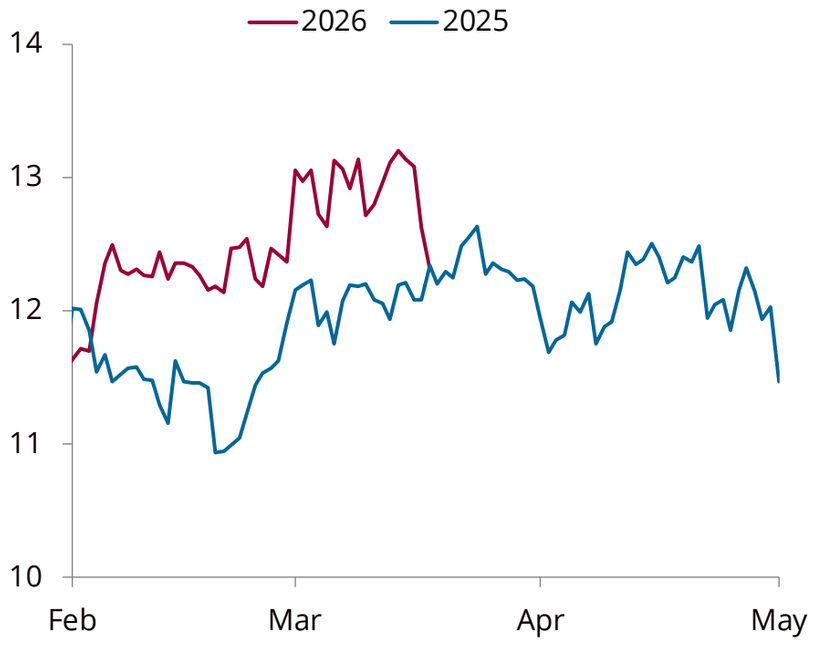
bcf/d



Permian flows average 23.0 bcf/d WTD, 0.4 bcf/d lower w/w. We expect March baseline Permian flows to decline on updated Permian spring maintenance schedule.

Haynesville gas production

bcf/d



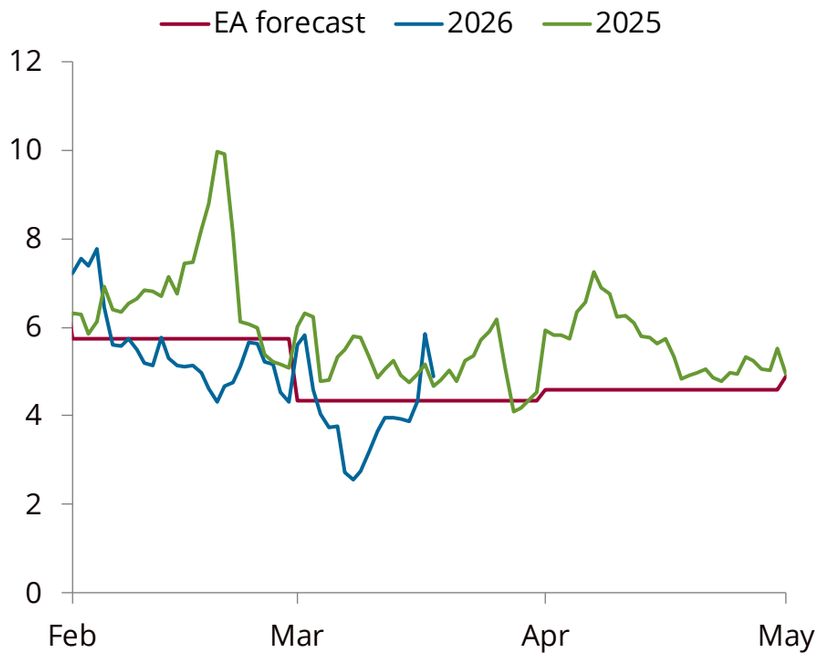
Our Haynesville sample remained steady, averaging 12.9 bcf/d WTD, flat w/w. Regional rigs continue to defy expectations, further supporting our Q4 26 production growth estimate.

Source: Ventyx, Energy Aspects

Trade – Canada and Mexico

US imports from Canada

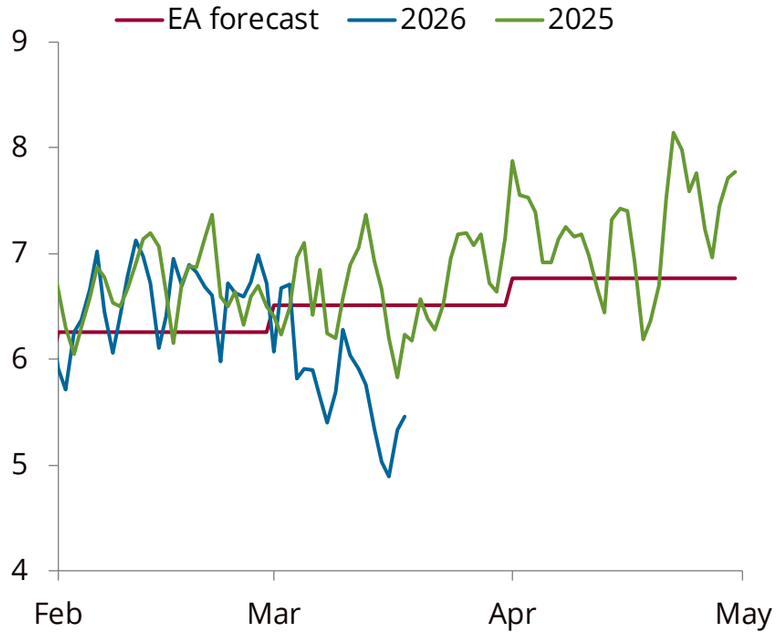
bcf/d



Trade with Canada rose on weather-driven demand and decline in exports. Flows average 4.9 bcf/d WTD, 1.9 bcf/d higher w/w.

US exports to Mexico

bcf/d



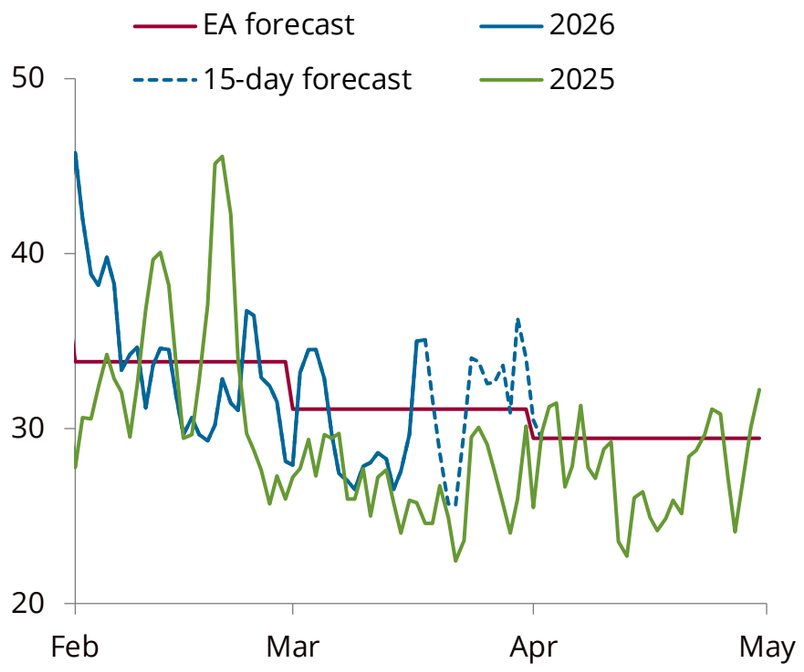
Power outages in Mexico drove gas demand down, especially past Brownsville. Flows have decreased by 0.5 bcf/d w/w, averaging 6.4 bcf/d WTD.

Source: Ventyx, Energy Aspects

Gas demand – Power and res-com

Power gas demand

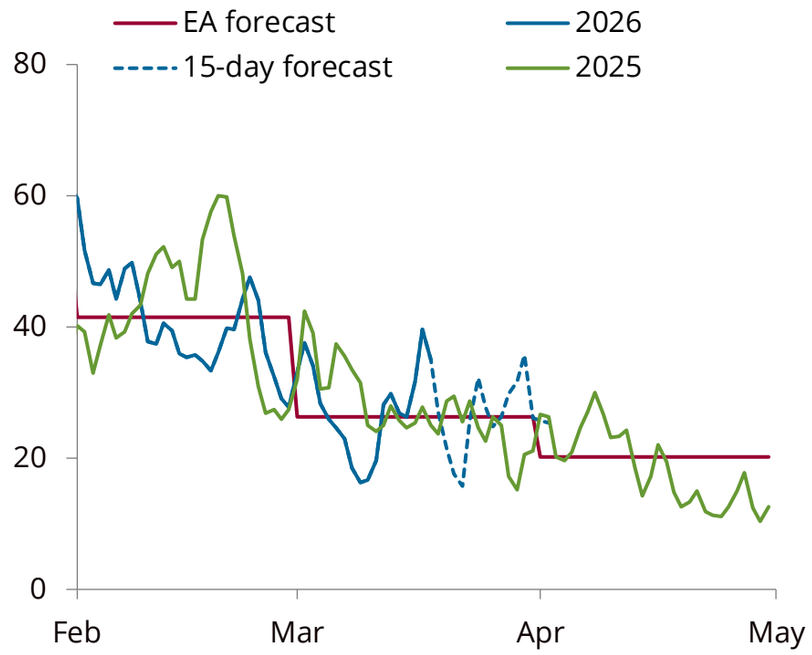
bcf/d



We estimate gas-for-power demand for the week ending 20 March will average 29.7 bcf/d, 1.4 bcf/d lower w/w.

Res-com demand

bcf/d



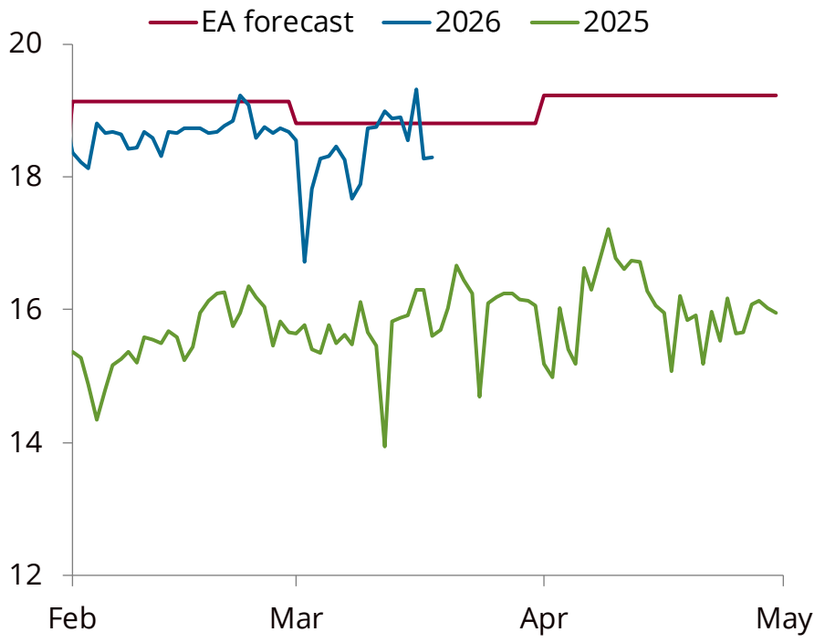
The recent late-season cold shot pushed HDD estimates for the week ending 20 March to realise on par with the 10-year normal, triggering a 10.4 bcf/d increase in res-com demand.

Source: Spire Weather, Ventyx, Energy Aspects

Gas demand – LNG feedgas

LNG feedgas demand

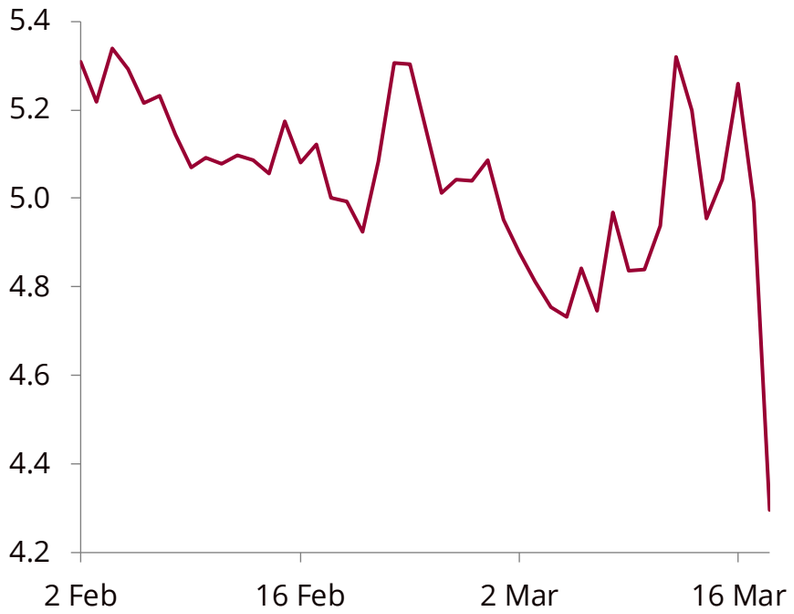
bcf/d



Visible LNG feedgas demand rose by 0.9 bcf/d w/w to average 19.2 bcf/d WTD on higher Freeport flows (+0.5 bcf/d w/w) and rising Sabine Pass utilisation (+0.4 bcf/d w/w).

Sabine Pass feedgas demand

bcf/d



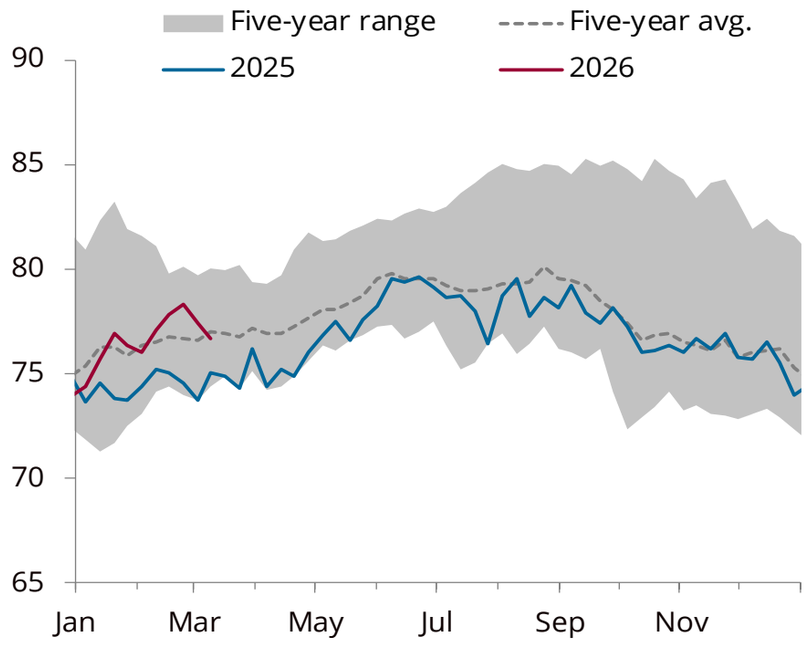
We observed an improvement (+0.4 bcf/d w/w) in Sabine Pass utilisation with flows realising at 5.2 bcf/d WTD. Creole Trail pipeline maintenance (0.83 bcf/d impact) through 19 March.

Source: Ventyx, Energy Aspects

Industrial demand sectors – Steel and refining

US steel capacity utilisation

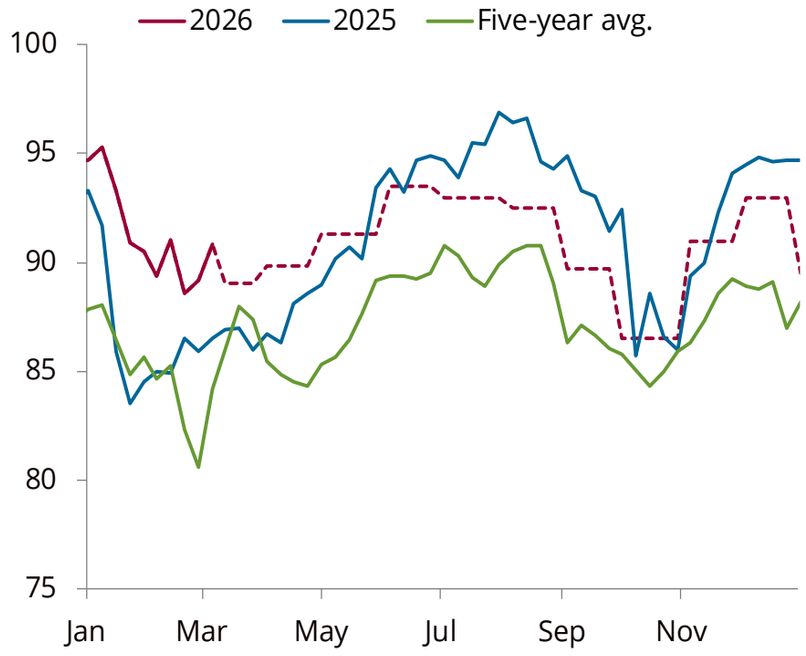
%



Steel capacity utilisation has fallen w/w, dropping by 0.7 ppts to 76.7%.

US refinery capacity utilisation

%



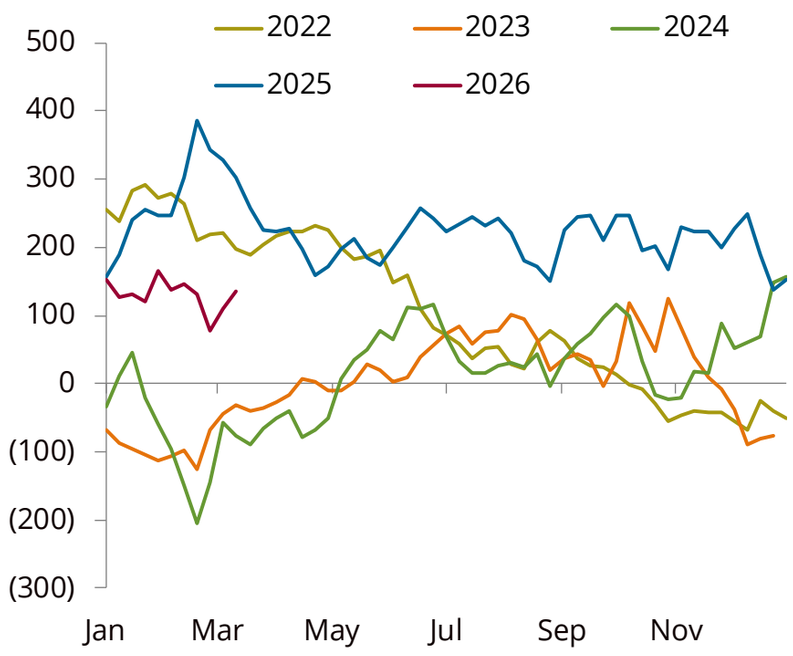
Crude imports via the Strait of Hormuz account for just 3% of USGC refinery runs, which also have greater access to Latin America heavies.

Source: AISI, EIA, Energy Aspects

CFTC and rig counts

ICE, NYMEX net positioning

k lots



Henry Hub net positioning continues to lengthen in sympathy with global crude and LNG prices, adding 25.7k lots w/w to settle at 136.3k lots net long.

Rig counts for select US basins

rigs

	Gas		Oil		Total	
13 Mar 26	133		412		553	
w/w chg.	*1*	↑	*1*	↑	*2*	↑
y/y chg.	*31*	↑	*(74)*	↓	*(40)*	↓
6 Mar 26	132		411		551	
21 Mar 25	102		486		593	

	Appalachia		Haynesville		Permian	
13 Mar 26	39		54		241	
w/w chg.	*0*	-	*1*	↑	*0*	-
y/y chg.	*4*	↑	*25*	↑	*(59)*	↓
6 Mar 26	39		53		241	
21 Mar 25	35		29		300	

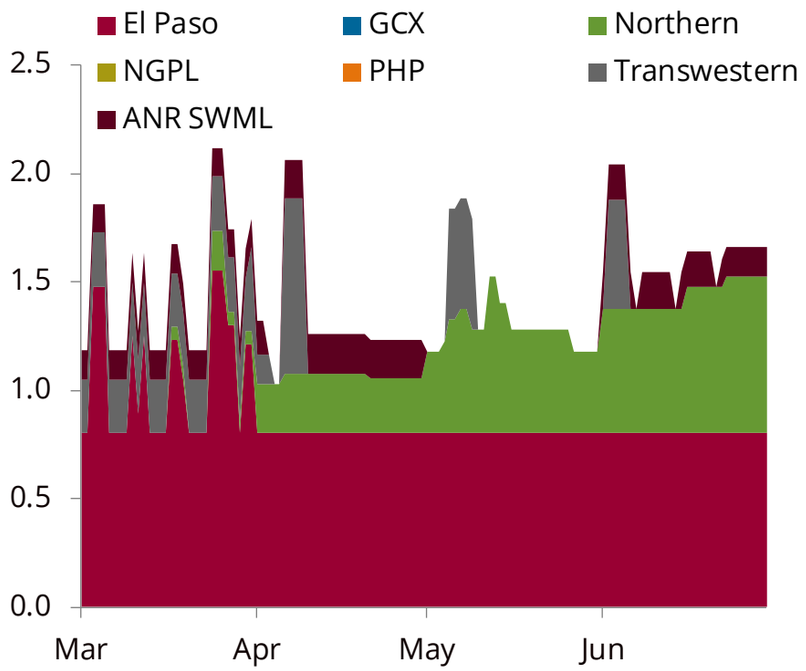
The Haynesville has sustained the rigs added since Winter Storm Fern and has continued to add to them. Oil producers have not responded to high crude prices with more rigs.

Source: Baker Hughes, Bloomberg, CFTC, ICE, Energy Aspects

Waha to face even more downside on spring pipeline maintenance

Permian cumulative exit capacity on outage

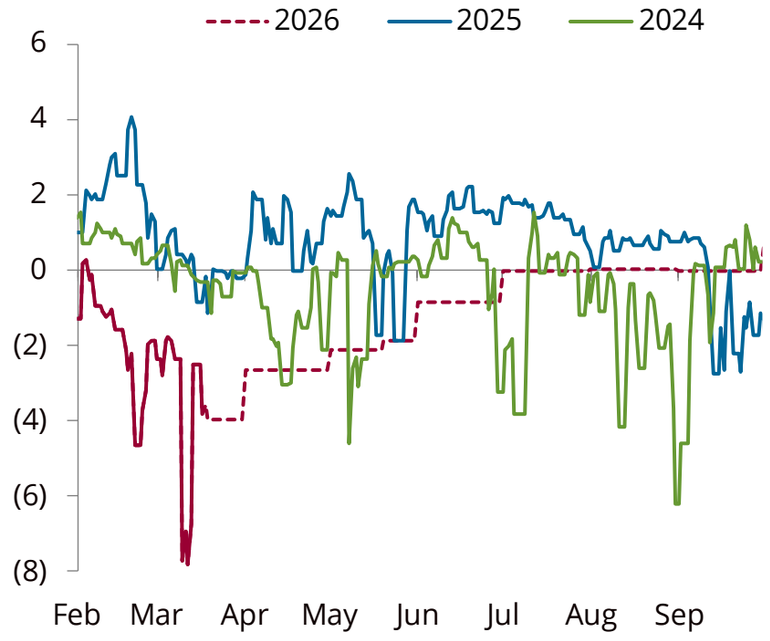
bcf/d



Permian pipelines are beginning to conduct maintenance, but the largest outages are yet to be scheduled. El Paso and Northern Natural are experiencing long-term force majeures.

Waha delivered cash price forecast

$/MMBtu



Waha delivered cash prices have only realised positive during Winter Storm Fern this winter. We model a -$1.56/MMBtu average over March–May 2026, before new egress lifts prices.

Source: Company reports, ICE, Energy Aspects

WCSB E&Ps guide for 4.5% growth, although expectations tempered since Q3 25

WCSB producer guidance

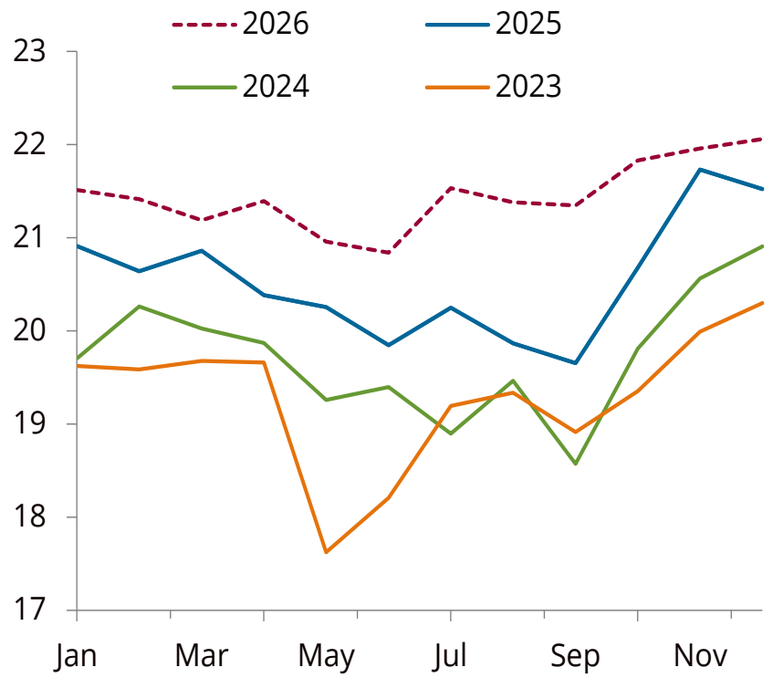
mmcf/d, million CAD$

Company	Production (mmcf/d)				Capex (million CAD)			
	2024	2025	2026 initial	Revised guidance	2024	2025	2026 initial	Revised guidance
Tourmaline	2,707	2,946	3,126	2,866	2,173	2,725	2,900	2,550
CNRL	2,137	2,538	2,669	2,669	6,275	6,150	6,300	5,990
ARC Resources	1,307	1,325	1,300	1,300	1,850	1,650	1,850	1,850
Ovintiv	1,465	1,591	1,750	1,750			900	900
Peyto	659	708	708	708	458	475	475	475
Cenovus	564	579	593	609	4,280	4,331	4,500	4,500
Whitecap Resources	665	758	885	885	1,131	2,049	2,050	2,050
Vermilion Energy	157	350	378	378	583	635	615	615
Birchcliff Energy	379	392	408	408	273	280	350	350
Advantage Energy	368	396	423	423	267	288	315	295
Paramount Resources	307	132	150	150	842	810	1,100	1,100
Spartan Delta Corp	154	156	170	170	125	359	440	440
Obsidian Energy	72	53	67	50	343	299	210	210
Baytex Energy	41	44	49	49	1,260	1,250	585	585
Total	**10,982**	**12,008**	**12,806**	**12,545**	**19,861**	**21,301**	**22,590**	**21,910**

WCSB producers are guiding for 4.8% production growth y/y on CAD$21.9 billion, although expectations have tempered since Q3 25 earnings.

WCSB production forecast

bcf/d



We forecast WCSB production to average 21.5 bcf/d in 2026, 0.9 bcf/d higher y/y, although growth will be limited by storage capacity.

Source: Company reports, StatCan, AER, Energy Aspects

Weather-normalised and peak-load growth

Weather-normalised load growth, y/y

%

	ISONE	NYISO	PJM	ERCOT	MISO	CAISO	SPP	US48
2027	0.6	0.9	3.2	6.0	2.6	0.6	4.0	3.5
2026	0.6	1.1	2.9	5.3	2.4	0.9	3.6	2.7
2025	(0.2)	0.1	2.4	5.9	2.2	(0.4)	3.7	2.5
Sep 26	0.3	1.5	3.4	5.4	2.5	1.1	4.2	3.1
Aug 26	0.3	1.1	2.6	4.9	2.4	0.6	3.2	2.9
Jul 26	(0.2)	0.9	3.3	5.0	2.4	0.5	3.5	3.1
Jun 26	0.3	1.8	3.0	5.4	3.0	0.6	4.0	3.1
May 26	(0.7)	0.6	2.8	6.0	2.6	0.5	4.3	2.5
Apr 26	0.6	1.3	3.0	7.1	2.8	0.3	4.8	3.1
Mar 26	1.8	1.5	3.5	5.1	2.6	2.4	3.2	3.7
Feb 26	2.6	0.5	3.3	2.7	1.2	1.7	0.8	1.7
Jan 26	2.1	0.6	1.5	2.5	0.5	1.2	2.3	0.2
Dec 25	0.1	(0.7)	1.8	3.9	1.8	0.3	5.1	1.5
Nov 25	(0.4)	(0.1)	2.7	4.2	(0.1)	(2.3)	4.8	1.4
Oct 25	(0.1)	(0.6)	3.6	5.5	1.5	0.2	3.1	2.8

Peak load, peak-load growth, y/y

%, GW

Season	Year	ISONE	NYISO	PJM	ERCOT	MISO	CAISO	US48
Summer (%)	**2027**	1.8	(0.8)	3.4	3.8	3.5	1.4	2.6
	2026	2.9	1.7	5.2	4.1	5.4	(0.2)	3.3
	2025	1.3	(2.8)	2.0	4.6	1.1	0.2	1.7
Winter (%)	**2027**	0.4	0.8	4.9	4.9	3.3	1.9	4.6
	2026	2.2	1.3	1.4	(0.5)	0.4	(0.8)	(0.1)
	2025	0.6	0.7	0.8	3.6	1.4	(1.1)	0.4
Summer (GW)	**2027**	26.0	31.2	172.3	97.5	133.0	48.2	794.5
	2026	25.5	31.5	166.6	93.9	128.5	47.5	774.3
	2025	24.8	31.0	158.4	90.2	122.0	47.6	749.7
Winter (GW)	**2027**	21.0	25.6	152.8	84.6	108.3	32.1	709.0
	2026	20.9	25.4	145.6	80.7	104.8	31.5	677.5
	2025	20.5	25.1	143.5	81.1	104.4	31.7	678.0

We have raised our load growth expectations outside PJM and ERCOT to align with updated vendor data, which reflect more activity outside of legacy markets.

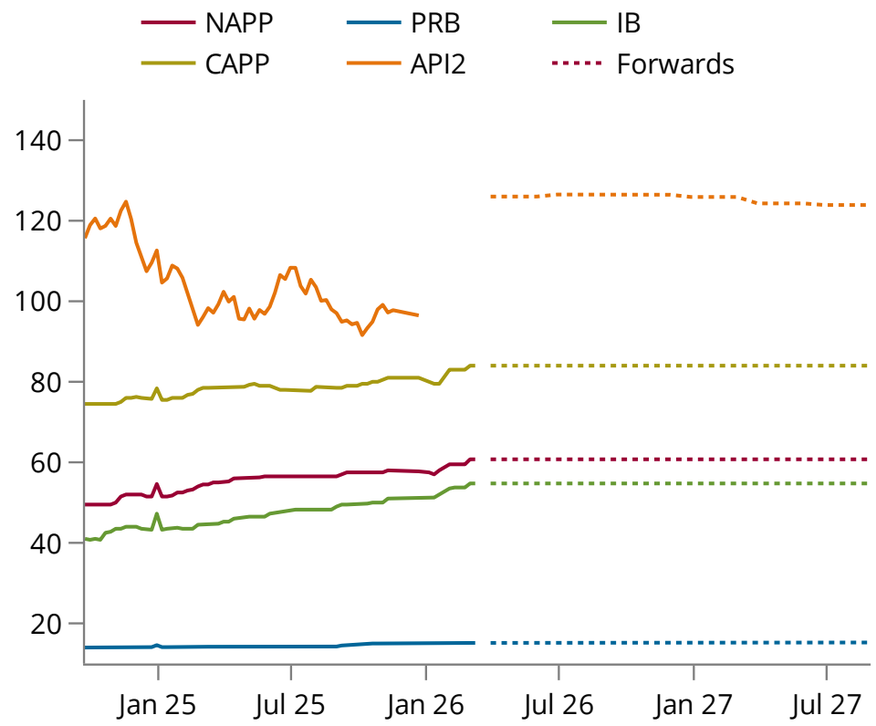
We expect winter peak load will grow faster than summer peak load in PJM due to heating electrification and BTM solar generation.

Source: ISOs, Energy Aspects

Coal prices and production

Coal prices

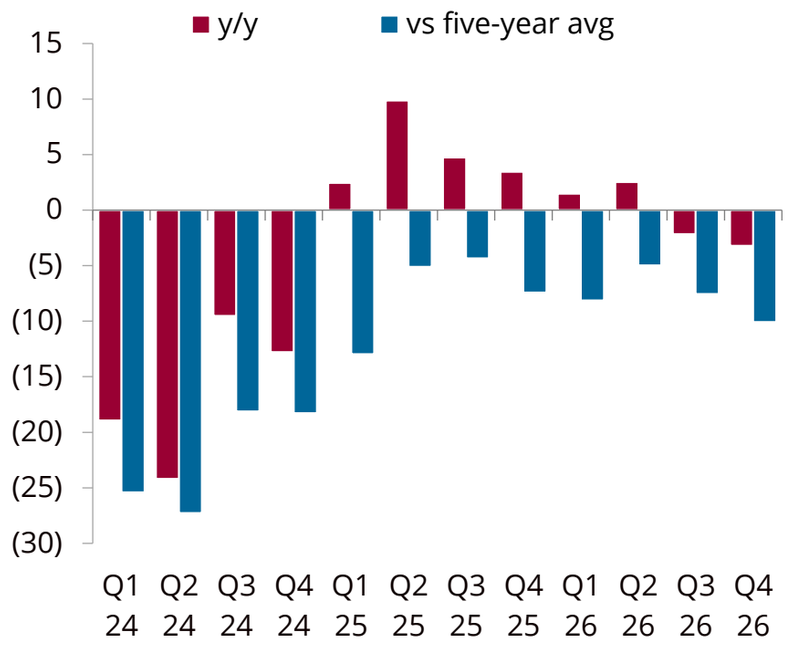
$/t



NAPP prices have not risen outside of the war rally despite low PJM stocks. Export data, while likely to be revised higher, do not show an uptick despite rising Asian demand.

Lower 48 coal production

Mt



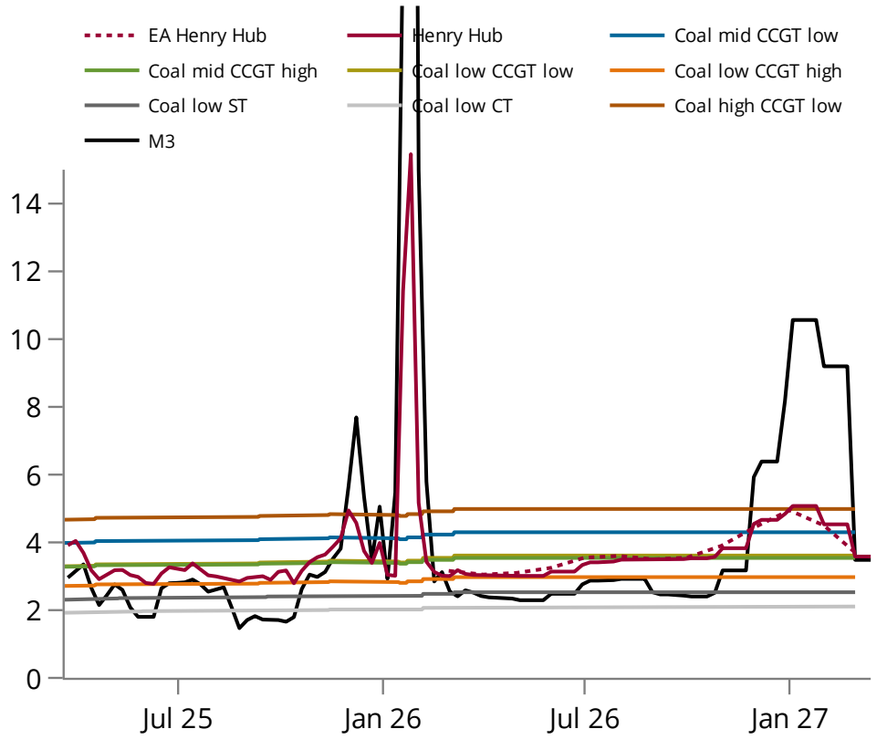
We forecast flat-to-slightly-lower production y/y, as generator inventories will remain near generator target levels at least through summer under normal weather.

Source: Coaldesk, EIA, Energy Aspects

PJM fuel switching, outages

PJM fuel-switching curves

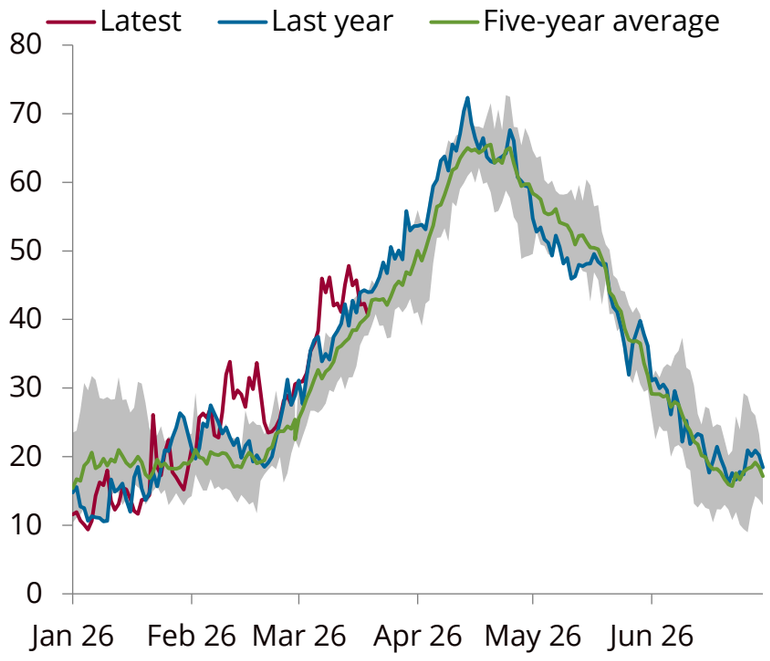
$/MMBtu



M3 forwards currently put most gas in merit against coal this spring despite a slight rise in NAPP coal prices.

PJM generator outages

GW



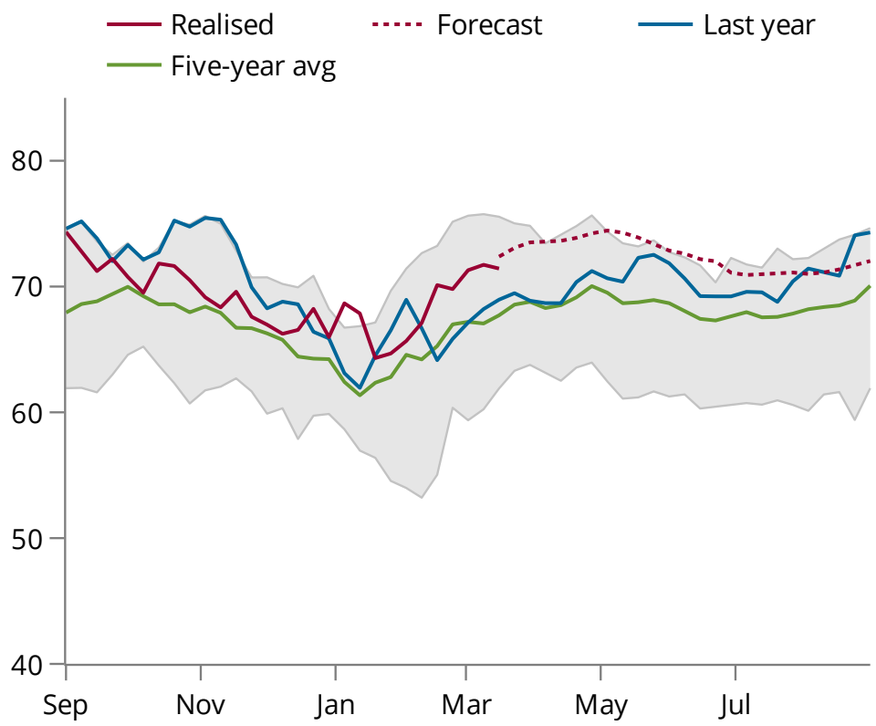
Outages have been lifted higher MTD y/y on an unplanned outage at Hope Creek. PJM's long-term outage report shows record-high total outages for the balance of spring.

Source: ICE, NRC, PJM, Energy Aspects

Gas generation

US gas share of thermal generation

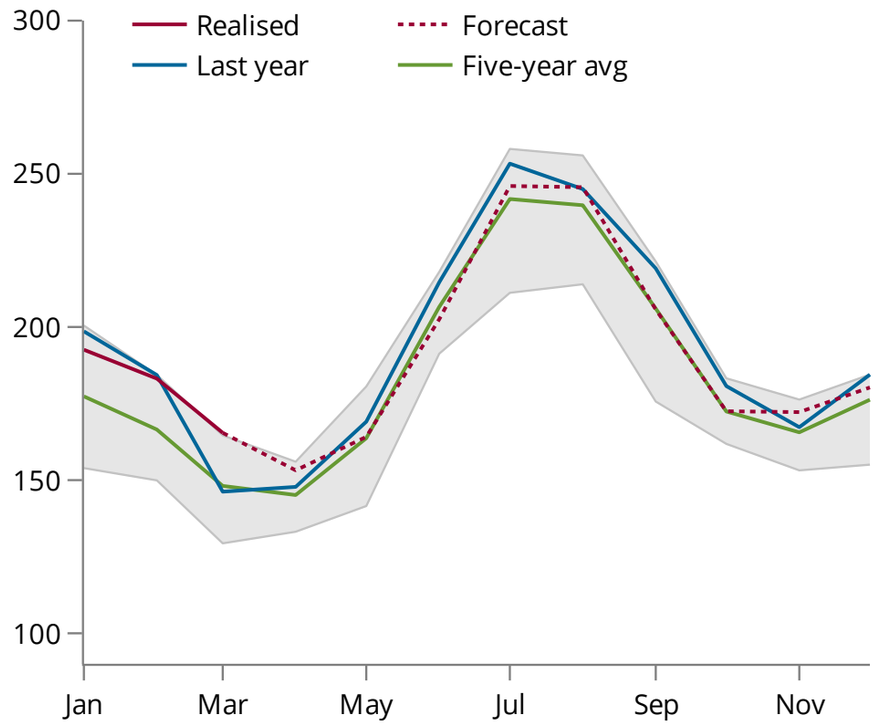
%



Warm weather runs combined with cheaper gas prices have increased our gas-share expectations above 70% through the shoulder season.

US gas generation

GW



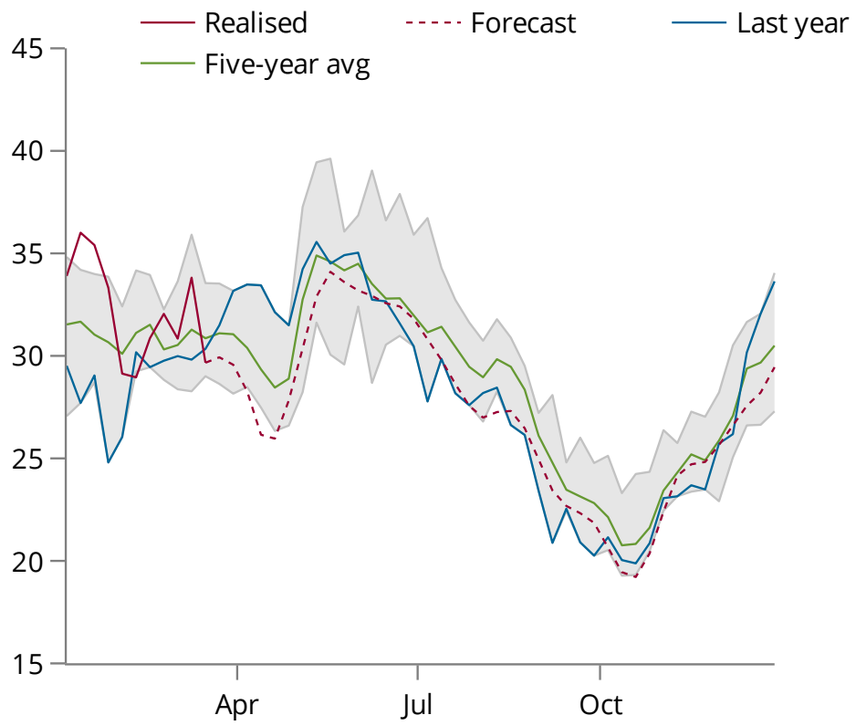
We expect April gas generation to increase by over 5 GW y/y as prompt Henry Hub prices remain $1/MMBtu lower y/y.

Source: EIA, Energy Aspects

Power generation

US hydro generation

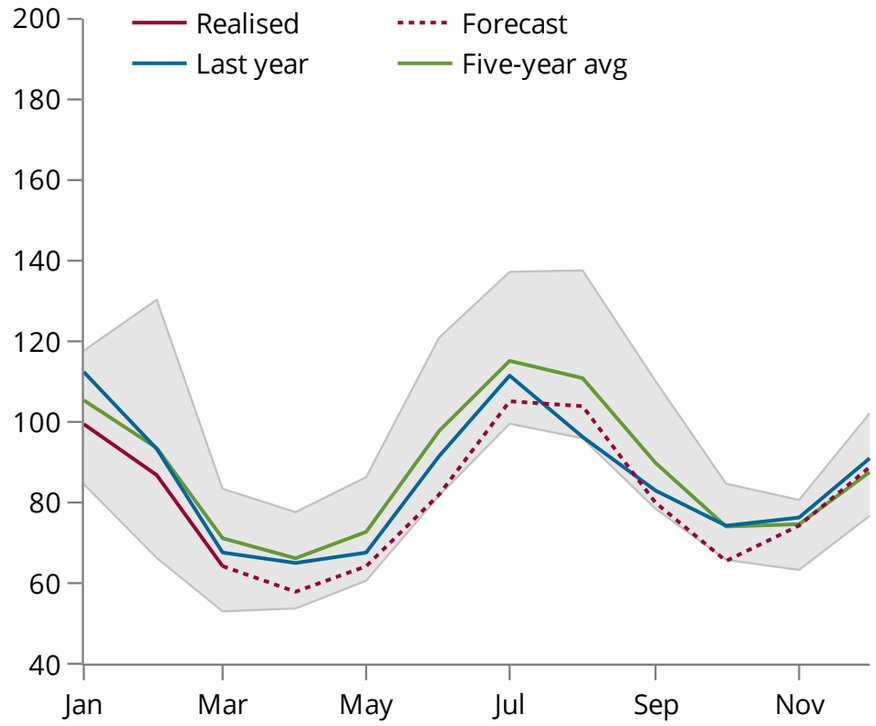
GW



US West precipitation has been near the 20-year average, driving reservoir replenishment. Ultimate generation levels are uncertain as the ratio of water to snow is unprecedented.

US coal generation

GW



We expect coal generation to realise over 6 GW lower y/y for April on lower Henry Hub prices y/y.

Source: EIA, Energy Aspects

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